# Nepal Rastra Bank Act, 2058

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## 1. Executive Summary

The Nepal Rastra Bank Act, 2058 establishes the Nepal Rastra Bank (NRB) as the central bank of Nepal. It grants the central bank full autonomy to formulate and implement monetary, foreign exchange, and supervision policy. The Act serves as the legal foundation for central bank regulation and supervision over all commercial banks and financial institutions.

## 2. Objectives of the Central Bank (Section 4)

The primary objectives of Nepal Rastra Bank under Section 4 of the Act are:

- **Price Stability:** Formulate and manage monetary and foreign exchange policies to maintain stable prices and control inflation.
- **Balance of Payments:** Maintain stability in the balance of payments (BOP) and foreign currency reserves.
- **Financial System Health:** Promote financial stability, safety, and healthy development of the banking system.
- **Payment System:** Develop and secure an efficient payment system in Nepal.

## 3. Supervisory & Regulatory Mandate (Section 79-84)

The NRB has the absolute power to regulate, inspect, and supervise licensed commercial banks. This includes:
- Inspection: The NRB can conduct on-site and off-site inspections of BFIs without prior notice.
- Directives: The NRB can issue binding directives regarding capital, liquidity, loans, and corporate governance.
- Corrective Action: If a BFI violates regulations, NRB can suspend operations, fine directors, freeze accounts, or initiate liquidation.

## 4. Key Governance Roles

- **Governor:** The Governor is appointed by the Government of Nepal for a term of 5 years. They act as the Chairman of the Board of Directors of NRB.
- **Board Structure:** The Board consists of the Governor, Secretary of Ministry of Finance, two Deputy Governors, and three directors appointed from banking, economic, or legal experts.